

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 5630**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 11, 201, and 236 (MCL 388.1611, 388.1801, and
388.1836), as amended by 2025 PA 15.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 11. (1) ~~For the fiscal year ending September 30, 2025,~~
2 ~~there is appropriated for the public schools of this state and~~
3 ~~certain other state purposes relating to education the sum of~~
4 ~~\$17,936,546,300.00 from the state school aid fund, the sum of~~
5 ~~\$78,830,600.00 from the general fund, an amount not to exceed~~
6 ~~\$41,000,000.00 from the community district education trust fund~~
7 ~~created under section 12 of the Michigan trust fund act, 2000 PA~~
8 ~~489, MCL 12.262, an amount not to exceed \$125,000,000.00 from the~~



~~school transportation fund created under section 22k, an amount not~~
~~to exceed \$71,000,000.00 from the enrollment stabilization fund~~
~~created under section 29, an amount not to exceed \$30,000,000.00~~
~~from the school meals reserve fund created under section 30e, an~~
~~amount not to exceed \$18,000,000.00 from the great start readiness~~
~~program reserve fund created under section 32e, an amount not to~~
~~exceed \$481,400,000.00 from the MPSEERS retirement obligation reform~~
~~reserve fund created under section 147b, and an amount not to~~
~~exceed \$30,000,000.00 from the educator fellowship public provider~~
~~fund created in section 27d.~~ For the fiscal year ending September
 30, 2026, there is appropriated for the public schools of this
 state and certain other state purposes relating to education the
 sum of ~~\$18,366,334,700.00~~ **\$100.00** from the state school aid fund,
 the sum of ~~\$73,151,100.00~~ **\$100.00** from the general fund, an amount
 not to exceed ~~\$100,000,000.00~~ **\$100.00** from the school consolidation
 and infrastructure fund created under section 11x, an amount not to
 exceed ~~\$125,000,000.00~~ **\$100.00** from the school transportation fund
 created under section 22k, an amount not to exceed ~~\$71,000,000.00~~
\$100.00 from the enrollment stabilization fund created under
 section 29, an amount not to exceed ~~\$18,000,000.00~~ **\$100.00** from the
 great start readiness program reserve fund created under section
 32e, an amount not to exceed ~~\$30,000,000.00~~ **\$100.00** from the
 educator fellowship public provider fund created under section 27d,
 an amount not to exceed ~~\$97,037,400.00~~ **\$100.00** from the state
 school aid pupil support reserve fund created under section 22r,
 and an amount not to exceed ~~\$600,000.00~~ **\$100.00** from the general
 pupil support reserve fund created under section 22s. **For the**
fiscal year ending September 30, 2027, there is appropriated for
the public schools of this state and certain other state purposes



relating to education the sum of \$100.00 from the state school aid fund, the sum of \$100.00 from the general fund, an amount not to exceed \$100.00 from the school consolidation and infrastructure fund created under section 11x, an amount not to exceed \$100.00 from the school transportation fund created under section 22k, an amount not to exceed \$100.00 from the enrollment stabilization fund created under section 29, an amount not to exceed \$100.00 from the great start readiness program reserve fund created under section 32e, an amount not to exceed \$100.00 from the educator fellowship public provider fund created under section 27d, an amount not to exceed \$100.00 from the state school aid pupil support reserve fund created under section 22r, and an amount not to exceed \$100.00 from the general pupil support reserve fund created under section 22s.

In addition, all available federal funds are only appropriated as allocated in this article for the fiscal years ending ~~September 30, 2025 and September 30, 2026~~ **and September 30, 2027**.

(2) The appropriations under this section are allocated as provided in this article. Money appropriated under this section from the general fund must be expended to fund the purposes of this article before the expenditure of money appropriated under this section from the state school aid fund.

(3) Any general fund allocations under this article that are not expended by the end of the fiscal year are transferred to the school aid stabilization fund created under section 11a.

Sec. 201. (1) Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for community colleges for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section: ~~and section 201f.~~



(a) The gross appropriation is ~~\$493,032,100.00.~~ **\$100.00** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$493,032,100.00.~~ **\$100.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:

(i) Total federal revenues, \$0.00.

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$493,032,100.00.~~ **\$100.00.**

(v) State general fund/general purpose money, \$0.00.

(2) Subject to subsection (3), the amount appropriated for community college operations is ~~\$363,570,600.00, allocated as follows:~~ **\$100.00.**

~~(a) The appropriation for Alpena Community College is \$6,416,800.00, \$6,403,300.00 for operations, \$0.00 for performance funding, and \$13,500.00 for costs incurred under the North American Indian tuition waiver.~~

~~(b) The appropriation for Bay de Noc Community College is \$6,390,000.00, \$6,298,000.00 for operations, \$0.00 for performance funding, and \$92,000.00 for costs incurred under the North American Indian tuition waiver.~~

~~(c) The appropriation for Delta College is \$16,934,200.00, \$16,882,400.00 for operations, \$0.00 for performance funding, and \$51,800.00 for costs incurred under the North American Indian tuition waiver.~~

~~(d) The appropriation for Glen Oaks Community College is \$2,987,000.00, \$2,984,100.00 for operations, \$0.00 for performance~~



1 ~~funding, and \$2,900.00 for costs incurred under the North American~~
2 ~~Indian tuition waiver.~~

3 ~~(e) The appropriation for Gogebic Community College is~~
4 ~~\$5,439,100.00, \$5,399,000.00 for operations, \$0.00 for performance~~
5 ~~funding, and \$40,100.00 for costs incurred under the North American~~
6 ~~Indian tuition waiver.~~

7 ~~(f) The appropriation for Grand Rapids Community College is~~
8 ~~\$21,337,300.00, \$21,184,200.00 for operations, \$0.00 for~~
9 ~~performance funding, and \$153,100.00 for costs incurred under the~~
10 ~~North American Indian tuition waiver.~~

11 ~~(g) The appropriation for Henry Ford College is~~
12 ~~\$25,305,200.00, \$25,300,700.00 for operations, \$0.00 for~~
13 ~~performance funding, and \$4,500.00 for costs incurred under the~~
14 ~~North American Indian tuition waiver.~~

15 ~~(h) The appropriation for Jackson College is \$14,059,700.00,~~
16 ~~\$14,032,600.00 for operations, \$0.00 for performance funding, and~~
17 ~~\$27,100.00 for costs incurred under the North American Indian~~
18 ~~tuition waiver.~~

19 ~~(i) The appropriation for Kalamazoo Valley Community College~~
20 ~~is \$14,751,300.00, \$14,704,400.00 for operations, \$0.00 for~~
21 ~~performance funding, and \$46,900.00 for costs incurred under the~~
22 ~~North American Indian tuition waiver.~~

23 ~~(j) The appropriation for Kellogg Community College is~~
24 ~~\$11,453,400.00, \$11,426,700.00 for operations, \$0.00 for~~
25 ~~performance funding, and \$26,700.00 for costs incurred under the~~
26 ~~North American Indian tuition waiver.~~

27 ~~(k) The appropriation for Kirtland Community College is~~
28 ~~\$3,881,400.00, \$3,835,100.00 for operations, \$0.00 for performance~~
29 ~~funding, and \$46,300.00 for costs incurred under the North American~~



1 ~~Indian tuition waiver.~~

2 ~~(l) The appropriation for Lake Michigan College is~~
3 ~~\$6,427,600.00, \$6,408,200.00 for operations, \$0.00 for performance~~
4 ~~funding, and \$19,400.00 for costs incurred under the North American~~
5 ~~Indian tuition waiver.~~

6 ~~(m) The appropriation for Lansing Community College is~~
7 ~~\$36,216,500.00, \$36,134,400.00 for operations, \$0.00 for~~
8 ~~performance funding, and \$82,100.00 for costs incurred under the~~
9 ~~North American Indian tuition waiver.~~

10 ~~(n) The appropriation for Macomb Community College is~~
11 ~~\$38,251,500.00, \$38,160,600.00 for operations, \$0.00 for~~
12 ~~performance funding, and \$90,900.00 for costs incurred under the~~
13 ~~North American Indian tuition waiver.~~

14 ~~(o) The appropriation for Mid Michigan Community College is~~
15 ~~\$5,919,500.00, \$5,837,000.00 for operations, \$0.00 for performance~~
16 ~~funding, and \$82,500.00 for costs incurred under the North American~~
17 ~~Indian tuition waiver.~~

18 ~~(p) The appropriation for Monroe County Community College is~~
19 ~~\$5,368,900.00, \$5,368,500.00 for operations, \$0.00 for performance~~
20 ~~funding, and \$400.00 for costs incurred under the North American~~
21 ~~Indian tuition waiver.~~

22 ~~(q) The appropriation for Montcalm Community College is~~
23 ~~\$4,035,000.00, \$4,033,300.00 for operations, \$0.00 for performance~~
24 ~~funding, and \$1,700.00 for costs incurred under the North American~~
25 ~~Indian tuition waiver.~~

26 ~~(r) The appropriation for C.S. Mott Community College is~~
27 ~~\$18,028,100.00, \$18,017,800.00 for operations, \$0.00 for~~
28 ~~performance funding, and \$10,300.00 for costs incurred under the~~
29 ~~North American Indian tuition waiver.~~



~~(s) The appropriation for Muskegon Community College is \$10,403,400.00, \$10,359,900.00 for operations, \$0.00 for performance funding, and \$43,500.00 for costs incurred under the North American Indian tuition waiver.~~

~~(t) The appropriation for North Central Michigan College is \$4,110,100.00, \$3,947,700.00 for operations, \$0.00 for performance funding, and \$162,400.00 for costs incurred under the North American Indian tuition waiver.~~

~~(u) The appropriation for Northwestern Michigan College is \$10,874,500.00, \$10,619,800.00 for operations, \$0.00 for performance funding, and \$254,700.00 for costs incurred under the North American Indian tuition waiver.~~

~~(v) The appropriation for Oakland Community College is \$25,168,400.00, \$25,130,000.00 for operations, \$0.00 for performance funding, and \$38,400.00 for costs incurred under the North American Indian tuition waiver.~~

~~(w) The appropriation for Schoolcraft College is \$14,997,300.00, \$14,972,000.00 for operations, \$0.00 for performance funding, and \$25,300.00 for costs incurred under the North American Indian tuition waiver.~~

~~(x) The appropriation for Southwestern Michigan College is \$7,805,700.00, \$7,786,600.00 for operations, \$0.00 for performance funding, and \$19,100.00 for costs incurred under the North American Indian tuition waiver.~~

~~(y) The appropriation for St. Clair County Community College is \$8,355,300.00, \$8,342,000.00 for operations, \$0.00 for performance funding, and \$13,300.00 for costs incurred under the North American Indian tuition waiver.~~

~~(z) The appropriation for Washtenaw Community College is~~



~~\$16,276,300.00, \$16,257,300.00 for operations, \$0.00 for performance funding, and \$19,000.00 for costs incurred under the North American Indian tuition waiver.~~

~~(aa) The appropriation for Wayne County Community College is \$19,462,800.00, \$19,460,300.00 for operations, \$0.00 for performance funding, and \$2,500.00 for costs incurred under the North American Indian tuition waiver.~~

~~(bb) The appropriation for West Shore Community College is \$2,914,300.00, \$2,896,700.00 for operations, \$0.00 for performance funding, and \$17,600.00 for costs incurred under the North American Indian tuition waiver.~~

~~(3) The amount appropriated in subsection (2) for community college operations is \$363,570,600.00 **\$100.00** and is appropriated from the state school aid fund.~~

~~(4) From the appropriations described in subsection (1), both of the following apply:~~

~~(a) Subject to section 207a, the amount appropriated for fiscal year 2025-2026 to offset certain fiscal year 2025-2026 retirement contributions is \$7,189,000.00, appropriated from the state school aid fund.~~

~~(b) For fiscal year 2025-2026, there is allocated an amount not to exceed \$19,600,000.00 for payments to participating community colleges, appropriated from the state school aid fund. A community college that receives money under this subdivision shall use that money solely for the purpose of offsetting the normal cost contribution rate.~~

~~(5) From the appropriations described in subsection (1), subject to section 207b, the amount appropriated for payments to community colleges that are participating entities of the~~



~~retirement system is \$89,500,000.00, appropriated from the state school aid fund.~~

~~(6) From the appropriations described in subsection (1), subject to section 207c, the amount appropriated for renaissance zone tax reimbursements is \$2,200,000.00, appropriated from the state school aid fund. Each community college receiving funds in this subsection shall accrue these payments to its institutional fiscal year ending June 30, 2026.~~

Sec. 236. ~~(1)~~ Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for higher education for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section: ~~and sections 236d, 236e, and 236j:~~

(a) The gross appropriation is ~~\$2,336,912,000.00.~~ **\$100.00.** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$2,336,912,000.00.~~ **\$100.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:

(i) Total federal revenues, ~~\$3,200,000.00.~~ **\$0.00**

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$850,768,300.00.~~ **\$50.00.**

(v) State general fund/general purpose money, ~~\$1,482,943,700.00.~~ **\$50.00.**

~~(c) The totals and subtotals reflected in subdivisions (a) and (b) do not include amounts appropriated under subsection (7) (d) or~~



~~(8) (b) to avoid duplicating totals of amounts appropriated in this section and section 236j.~~

~~(2) Amounts appropriated for public universities are as follows:~~

~~(a) The appropriation for Central Michigan University is \$99,466,100.00, \$95,226,900.00 for operations, \$0.00 for operations increase, \$2,558,800.00 for MPERS support payment, and \$1,680,400.00 for costs incurred under the North American Indian tuition waiver.~~

~~(b) The appropriation for Eastern Michigan University is \$86,649,200.00, \$83,979,800.00 for operations, \$0.00 for operations increase, \$2,256,500.00 for MPERS support payment, and \$412,900.00 for costs incurred under the North American Indian tuition waiver.~~

~~(c) The appropriation for Ferris State University is \$62,221,900.00, \$59,816,300.00 for operations, \$0.00 for operations increase, \$1,607,300.00 for MPERS support payment, and \$798,300.00 for costs incurred under the North American Indian tuition waiver.~~

~~(d) The appropriation for Grand Valley State University is \$98,772,000.00, \$97,552,900.00 for operations, \$0.00 for operations increase, \$0.00 for MPERS support payment, and \$1,219,100.00 for costs incurred under the North American Indian tuition waiver.~~

~~(e) The appropriation for Lake Superior State University is \$16,301,400.00, \$14,465,600.00 for operations, \$0.00 for operations increase, \$388,700.00 for MPERS support payment, and \$1,447,100.00 for costs incurred under the North American Indian tuition waiver.~~

~~(f) The appropriation for Michigan State University is \$396,845,300.00, \$321,516,900.00 for operations, \$0.00 for operations increase, \$0.00 for MPERS support payment, \$2,508,800.00 for costs incurred under the North American Indian~~



1 ~~tuition waiver, \$39,096,200.00 for MSU AgBioResearch, and~~
 2 ~~\$33,723,400.00 for MSU Extension.~~

3 ~~(g) The appropriation for Michigan Technological University is~~
 4 ~~\$56,659,000.00, \$54,463,700.00 for operations, \$0.00 for operations~~
 5 ~~increase, \$1,463,400.00 for MPERS support payment, and \$731,900.00~~
 6 ~~for costs incurred under the North American Indian tuition waiver.~~

7 ~~(h) The appropriation for Northern Michigan University is~~
 8 ~~\$55,688,200.00, \$52,850,300.00 for operations, \$0.00 for operations~~
 9 ~~increase, \$1,420,100.00 for MPERS support payment, and~~
 10 ~~\$1,417,800.00 for costs incurred under the North American Indian~~
 11 ~~tuition waiver.~~

12 ~~(i) The appropriation for Oakland University is~~
 13 ~~\$73,361,600.00, \$73,036,400.00 for operations, \$0.00 for operations~~
 14 ~~increase, \$0.00 for MPERS support payment, and \$325,200.00 for~~
 15 ~~costs incurred under the North American Indian tuition waiver.~~

16 ~~(j) The appropriation for Saginaw Valley State University is~~
 17 ~~\$34,379,000.00, \$34,196,000.00 for operations, \$0.00 for operations~~
 18 ~~increase, \$0.00 for MPERS support payment, and \$183,000.00 for~~
 19 ~~costs incurred under the North American Indian tuition waiver.~~

20 ~~(k) The appropriation for University of Michigan - Ann Arbor~~
 21 ~~is \$362,507,900.00, \$360,607,300.00 for operations, \$0.00 for~~
 22 ~~operations increase, \$0.00 for MPERS support payment, and~~
 23 ~~\$1,900,600.00 for costs incurred under the North American Indian~~
 24 ~~tuition waiver.~~

25 ~~(l) The appropriation for University of Michigan - Dearborn is~~
 26 ~~\$31,708,000.00, \$31,513,700.00 for operations, \$0.00 for operations~~
 27 ~~increase, \$0.00 for MPERS support payment, and \$194,300.00 for~~
 28 ~~costs incurred under the North American Indian tuition waiver.~~

29 ~~(m) The appropriation for University of Michigan - Flint is~~



~~\$26,884,600.00, \$26,403,700.00 for operations, \$0.00 for operations increase, \$0.00 for MPERS support payment, and \$480,900.00 for costs incurred under the North American Indian tuition waiver.~~

~~(n) The appropriation for Wayne State University is \$227,787,300.00, \$227,310,200.00 for operations, \$0.00 for operations increase, \$0.00 for MPERS support payment, and \$477,100.00 for costs incurred under the North American Indian tuition waiver.~~

~~(o) The appropriation for Western Michigan University is \$125,246,700.00, \$121,231,800.00 for operations, \$0.00 for operations increase, \$3,257,500.00 for MPERS support payment, and \$757,400.00 for costs incurred under the North American Indian tuition waiver.~~

~~(3) The amount appropriated in subsection (2) for public universities is \$1,754,478,200.00, appropriated from the following:~~

~~(a) State school aid fund, \$643,168,300.00.~~

~~(b) State general fund/general purpose money, \$1,111,309,900.00.~~

~~(4) The amount appropriated for Michigan public school employees' retirement system reimbursement is \$0.00.~~

~~(5) The amount appropriated for state and regional programs is \$322,100.00, appropriated from general fund/general purpose money and allocated as follows:~~

~~(a) Higher education database modernization and conversion, \$200,000.00.~~

~~(b) Midwestern Higher Education Compact, \$122,100.00.~~

~~(6) The amount appropriated for the Martin Luther King, Jr. - Cesar Chavez - Rosa Parks program is \$2,691,500.00, appropriated from general fund/general purpose money and allocated as follows:~~



~~(a) Select student support services, \$1,956,100.00.~~
~~(b) Michigan college/university partnership program,~~
~~\$586,800.00.~~
~~(c) Morris Hood, Jr. educator development program,~~
~~\$148,600.00.~~
~~(7) Subject to subsection (8), the amount appropriated for~~
~~grants and financial aid is \$469,500,000.00, allocated as follows:~~
~~(a) Tuition incentive program, \$122,300,000.00.~~
~~(b) Children of veterans and officer's survivor tuition grant~~
~~programs, \$2,000,000.00.~~
~~(c) Project GEAR-UP, \$3,200,000.00.~~
~~(d) Michigan achievement scholarships, \$300,000,000.00. From~~
~~this amount, up to \$10,000,000.00 may be used to award skills~~
~~scholarships under section 248a.~~
~~(e) Michigan reconnect, \$42,000,000.00.~~
~~(8) The money appropriated in subsection (7) for grants and~~
~~financial aid is appropriated from the following:~~
~~(a) Federal revenues under the United States Department of~~
~~Education, Office of Elementary and Secondary Education, GEAR-UP~~
~~program, \$3,200,000.00.~~
~~(b) Postsecondary scholarship fund, \$300,000,000.00.~~
~~(c) State general fund/general purpose money, \$166,300,000.00.~~
~~(d) At the close of the fiscal year, state general~~
~~fund/general purpose money appropriated in subsection (7) for~~
~~grants and scholarships that is unspent must be deposited into the~~
~~postsecondary scholarship fund created in section 236j.~~
~~(9) For fiscal year 2025-2026 only, in addition to the~~
~~allocation under subsection (4), from the appropriations described~~
~~in subsection (1), there is allocated an amount not to exceed~~

1 ~~\$7,600,000.00 for payments to participating public universities,~~
2 ~~appropriated from the state school aid fund. A public university~~
3 ~~that receives money under this subsection shall use that money~~
4 ~~solely for the purpose of offsetting the normal cost contribution~~
5 ~~rate. As used in this subsection, "participating public~~
6 ~~universities" means public universities that are a reporting unit~~
7 ~~of the Michigan public school employees' retirement system under~~
8 ~~the public school employees retirement act of 1979, 1980 PA 300,~~
9 ~~MCL 38.1301 to 38.1437, and that pay contributions to the Michigan~~
10 ~~public school employees' retirement system for the state fiscal~~
11 ~~year.~~